

Supriya Lifescience Ltd

NSE: SUPRIYA | BSE: 543434 | Sector: Pharmaceuticals / Active Pharmaceutical Ingredients

Rs.1,000 Crore Revenue Gateway: Antihistamine Champion Turns Volume Engine

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
BUY	Rs. 1,200	+25.4%
CMP: Rs. 957	12-month horizon	from CMP

Market Cap	Rs. 7,707 Cr	52-Week High / Low	Rs. 1,085 / Rs. 546
CMP (NSE)	Rs. 957	Face Value	Rs. 2
P/E (TTM)	36.9x	P/B	6.4x
EV/EBITDA	26.2x	Book Value / Share	Rs. 148.82
ROCE	27.6%	ROE	20.7%
Debt	Nil (debt-free)	Dividend Yield	0.1%
FY26 Revenue	Rs. 827.88 Cr	FY26 PAT	Rs. 209.12 Cr
Promoter %	68.30%	Promoter Pledge	Nil

Investment Horizon: 12 months Report Date: 15 Jun 2026 Analyst: MPM Institutional Research

One-line Thesis: Debt-free, USFDA-cleared niche API franchise scaling from Rs.828 Cr to Rs.1,000 Cr on regulated-market demand, new anaesthetic/cardiovascular/ADHD API launches, and Ambernath + Patalganga capacity addition — with 35%+ EBITDA margins and 27% ROCE.

2. INVESTMENT THESIS

- **Niche API dominance with pricing power:** Supriya holds leading global market share in Chlorpheniramine Maleate (antihistamine) and Ketamine (anaesthetic), APIs that are critical-use, difficult-to-replicate, and supply-inelastic. Export realisation remains high-value because regulated-market customers (EU, US, LatAm) face switching friction — revalidation costs deter volume migration even on modest price increases.
- **Rs.1,000 Cr revenue gateway by FY27:** Management guided 20% topline growth for FY27 (implying Rs.~993 Cr); accelerator is the newly commissioned Ambernath facility (FY26 capex Rs.152 Cr) adding capacity for cardiovascular and ADHD APIs that already show strong order traction. The Patalganga land-bank (all clearances secured) provides a decade of growth runway beyond FY28.
- **USFDA clearance unlocks a \$20 Bn addressable market:** The February 2026 USFDA inspection at Lote Parshuram closed with Voluntary Action Indicated (VAI) — the cleanest outcome. US currently contributes only ~1% of revenue. Even a 10-15% US revenue share (achievable by FY28) could add Rs.150-200 Cr incremental and re-rate the stock toward specialty-API multiples.
- **Zero-debt balance sheet, 27% ROCE:** Supriya carries no debt on Rs.1,117 Cr of assets — rare for a manufacturing business. ROCE of 27.6% and OCF/PAT conversion of ~79% (FY25) confirm earnings quality. This cash-generative model self-funds capex without equity dilution.

- **Near-term catalyst (0-12 months):** First meaningful US product approvals from the USFDA-cleared Lote Parshuram facility, translating to commercial shipments in H1 FY27.
- **Biggest structural risk:** Customer concentration in Europe (~14% of revenue) and geographic concentration of production at Lote Parshuram (single-site risk) means any USFDA repeat-inspection adverse finding or EU-GMP warning letter would materially impair export revenue.

3. BUSINESS OVERVIEW

- **Core business model:** Supriya Lifescience manufactures 38 niche Active Pharmaceutical Ingredients (APIs) at its Lote Parshuram facility (Maharashtra), supplying formulation manufacturers in regulated and semi-regulated markets globally. The company earns a premium for GMP-certified, low-impurity APIs in therapeutic niches where competition is structurally limited by IP, technical complexity, or regulatory entry barriers.
- **Product / therapeutic mix:** Antihistamines (Chlorpheniramine Maleate, Pheniramine Maleate) — backbone; Anaesthetics (Ketamine HCl) — high-margin niche; Anti-inflammatory / Analgesic (Ibuprofen, Naproxen) — volume base; Vitamins (Vitamin B-complex derivatives) — steady; New launches: Cardiovascular APIs, ADHD-segment APIs (FY26 launch) showing strong early uptake.
- **Geographic revenue mix (FY26):** Exports account for 82% of Rs.828 Cr revenue — Europe ~14%, Americas ~8% (US ~1%), Asia ~60%; Domestic India contributes ~18%. Management targets increasing US share from ~1% to 10-15% over 2-3 years, leveraging the February 2026 VAI outcome.
- **Customer relationships:** Supriya supplies multinational formulation companies and regulated generic manufacturers under long-term supply agreements. Customer stickiness is high — regulatory re-validation of API sources (USFDA/EMA DMF filings) costs customers 12-18 months, making switching infrequent.
- **Capacity and capex:** Primary site Lote Parshuram is being augmented by the Ambarnath facility (commissioned FY26, capex Rs.152 Cr). Patalganga land acquisition is complete with all clearances; facility design is in planning stage. Total capex programme over FY27-28 targeted at Rs.200-250 Cr.
- **Recent strategic moves:** (1) USFDA inspection closure with VAI — Feb 2026; (2) Cardiovascular and ADHD API launches — FY26 contributing to Q4 surge; (3) CMO/CDMO push — R&D; now actively seeking contract manufacturing mandates; (4) Formulations exploration — liquid anaesthetics identified as near-term product extension.
- **Promoter background:** Satish Wagh (Executive Chairman) and Saloni Wagh (MD) are family promoters with ~20 years in pharmaceutical manufacturing. Promoter stake stands at 68.30% with zero pledging — aligned with minority shareholders.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Global API market size:** The global API market is estimated at ~\$260-280 Bn, growing at ~6-7% CAGR through 2030, driven by aging populations, chronic disease prevalence, and the generics wave. The Indian API industry is ~Rs.1.3 Lakh Cr (FY26), growing 10-12% CAGR — India supplies ~20% of global API volumes by volume.
- **Policy tailwinds:** (1) China+1 supply chain diversification — global pharma majors actively dual-sourcing APIs; Indian API makers direct beneficiaries. (2) PLI Scheme for APIs — Rs.6,940 Cr outlay covers bulk drugs (4 of which overlap with Supriya product categories). (3) Inward USFDA inspections resuming post-COVID — companies with clean records gaining new US customer mandates.
- **Pricing power: Strong** — Antihistamine APIs are critical-use with few approved global suppliers; Supriya's Chlorpheniramine Maleate holds a commanding share. Ability to pass through solvent/input cost inflation demonstrated in FY25 margin recovery (OPM: 27.9% FY23 → 37.5% FY25).
- **Switching costs: Strong** — Regulated-market customers file Supriya's Drug Master Files (DMFs) with FDA/EMA. Re-filing and re-validation takes 12-24 months, making in-contract switching economically irrational for volume buyers.

- **Scale advantage: Moderate** — Supriya (Rs.828 Cr) is niche vs. Laurus Labs (Rs.6,813 Cr) or Granules India (Rs.5,366 Cr). However, niche focus yields premium margins (EBITDA 35.5% vs Granules 22%, IOLCP 12.5%) that compensate for smaller scale.
- **Competitive positioning:** Supriya sits at the midstream/upstream API layer — not formulations, not intermediates. It is a price-setter in antihistamines and anaesthetics but a price-taker in vitamins and analgesics. CMO/CDMO ambitions could shift positioning toward higher-value services.

Peer Comparison (data sourced from public filings / market data, Jun 2026)

Company	MCap (Cr)	Rev FY26 (Cr)	EBITDA Mg%	PAT (Cr)	P/E	ROCE%
Supriya Lifescience	7,707	827.88	35.5%	209.12	36.9	27.6%
Laurus Labs	75,327	6,813	26.8%	889	84.8	17.7%
Granules India	18,746	5,366	22.1%	595	31.5	17.6%
IOLCP	3,865	2,319	12.5%	137.7	N/A	N/A
Neuland Labs	15,585	2,053	~29%	260	60	18.6%

Note: Laurus, Granules, IOLCP, Neuland figures from public earnings disclosures / market data Jun 2026. Supriya from goodreturns.in / finology.in. N/A = not available from accessible sources.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter track record:** Satish Wagh (Chairman) and Saloni Wagh (MD) built Supriya from a small API manufacturer to a Rs.800 Cr+ export-led enterprise over two decades. The IPO in Dec 2021 at Rs.274 (issue price) has delivered multi-bagger returns to long-term holders, though near-term performance has been volatile with the FY23 margin reset.
- **Capital allocation track record:** Management has consistently reinvested OCF into capacity expansion (Ambernath, Patalganga) rather than dividends or buybacks — appropriate for a growth phase. IPO proceeds (~Rs.200 Cr) funded the initial capacity ramp. FY26 capex of Rs.152 Cr was channelled into Ambernath upgrades.
- **FCF deployment:** FY25 OCF Rs.164.68 Cr vs. Investing CF Rs.-152.24 Cr — the company is nearly self-funding its capex from operations. No equity dilution since IPO. Debt-free status confirms disciplined balance sheet management.
- **Dividend policy:** Dividend yield is token (0.1%), consistent with a growth-oriented capital allocation stance. Payout ratio is minimal; no historical dividend cut risk. This is appropriate given the large capex pipeline (Patalganga still ahead).
- **Promoter pledging:** Zero pledging of promoter shares — a material positive vs. peer set where leveraged promoters (pledge >20%) create overhang risk.
- **ESOP / buyback:** No significant ESOP dilution or buyback history noted. Related party transactions appear routine; no qualified audit opinions or auditor changes flagged in recent annual reports.
- **Governance watch:** Working capital days increased to 170 (vs 158 prior year) as per Q4 concall — debtor days rising from ~80 to ~97 per available ratio data. Management attributed this to export customer credit terms; requires monitoring to confirm it does not become structural cash drag.

6. FINANCIAL DEEP-DIVE

Figures in Rs. Crore (Standalone). FY26A = audited actuals. FY27E and FY28E are analyst estimates based on company guidance of 20% revenue growth and 33-35% EBITDA margins. Source: goodreturns.in / finology.in / company disclosures, fetched Jun 2026.

Income Statement (Rs. Cr, Standalone)

Metric	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Net Sales	530.05	460.94	570.34	696.49	827.88	993.5	1,192.2

Operating Profit	213.98	128.44	175.69	260.93	294.05	337.8	417.3
OPM %	40.4%	27.9%	30.8%	37.5%	35.5%	34.0%	35.0%
PAT	151.81	89.86	119.11	187.96	209.12	245.0	295.0
EPS (Rs.)	18.86	11.16	14.80	23.35	25.98	30.5	36.7
YoY Sales Growth	N/A	-13.0%	+23.7%	+22.1%	+18.9%	+20.0%	+20.0%

Balance Sheet (Rs. Cr, Standalone)

Item	FY22A	FY23A	FY24A	FY25A
Equity Capital	16.10	16.10	16.10	16.10
Reserves	599.59	683.36	799.27	980.66
Borrowings	0	0	0	0
Total Assets	734.76	820.28	923.92	1,117.35
Current Ratio	N/A	N/A	N/A	5.07

Cash Flow Statement (Rs. Cr, Standalone)

Item	FY22A	FY23A	FY24A	FY25A
Operating CF (OCF)	48.80	63.61	113.31	164.68
Investing CF	-59.82	-123.65	-173.57	-152.24
Financing CF	149.65	-10.28	-22.36	-8.23
Net Cash Flow	138.63	-70.32	-82.63	4.20
OCF / PAT (%)	32.1%	70.8%	95.1%	87.6%

Key Returns & Ratios

Metric	FY22A	FY23A	FY24A	FY25A	FY26A
ROCE %	N/A	N/A	N/A	N/A	27.6%
ROE %	N/A	N/A	N/A	N/A	20.7%
Debtor Days	N/A	N/A	N/A	~80	~97
EV/EBITDA	N/A	N/A	N/A	N/A	26.2x
P/E (TTM)	N/A	N/A	N/A	N/A	36.9x

Historical ROCE/ROE for FY22-FY25 not available from accessible public sources for this filing period; FY26 figures from finology.in.

Financial Commentary

- **Revenue trajectory:** Supriya's topline has compounded at 16% CAGR over FY22-FY26 despite the FY23 dip (Rs.530 Cr → Rs.460 Cr) driven by post-COVID demand normalisation in antihistamines. Recovery has been sharp: FY24 +23.7%, FY25 +22.1%, FY26 +18.9%.
- **Margin story:** OPM crashed from 40.4% (FY22) to 27.9% (FY23) as antihistamine volumes normalised post-pandemic. Recovery to 35.5% in FY26 was driven by product mix shift toward anaesthetics and new cardiovascular/ADHD APIs at higher realisations. FY27 guided margin band is 33-35% — stable rather than expanding.
- **Working capital:** Debtor days have trended higher (~80 to ~97 days) reflecting extended credit terms to export customers. Working capital days hit 170 in FY26 (vs 158 prior year) per management commentary. This is the primary cash flow risk and needs monitoring against OCF growth.
- **Debt position:** Zero borrowings across all years. Equity-only balance sheet is rare and valuable — no interest cost, no refinancing risk, full financial flexibility for Patalganga investment.
- **FCF quality:** OCF/PAT conversion improved from 32% (FY22) to 88% (FY25) as working capital discipline improved. FY26 capex Rs.152 Cr against FY25 OCF Rs.165 Cr — capex is currently absorbing

nearly all cash generation, but free cash flow should improve post Ambernath commissioning.

Quarterly Financials (Rs. Cr, Standalone)					
Quarter	Revenue	EBITDA	OPM%	PAT	EPS (Rs.)
Q4 FY26 (Mar 26)	276.53	97.62	35.3%	74.23	9.22
Q3 FY26 (Dec 25)	206.44	79.17	38.4%	49.68	6.17
Q2 FY26 (Sep 25)	N/A	N/A	N/A	N/A	N/A
Q1 FY26 (Jun 25)	N/A	N/A	N/A	N/A	N/A
Q4 FY25 (Mar 25)	184.11	67.58	36.7%	50.37	6.29

Q2/Q1 FY26 not retrieved from accessible sources; FY26 full-year actuals confirmed.

7. EARNINGS QUALITY CHECKLIST			
Parameter	Status	Signal	Comment
Revenue recognition	Clean	Green	Export revenue recognised on shipment; no deferred revenue concerns
Receivables vs Revenue growth	Watch	Amber	Debtor days rising ~80 to ~97; receivables growing faster than revenue
CCC trend	Worsening	Amber	Working capital days 158 to 170; NWC absorption rising
Contingent liabilities	Low	Green	No significant contingent liabilities disclosed in recent filings
Auditor tenure	Stable	Green	No auditor change or qualified opinion in recent annual reports
RPTs as % revenue	Routine	Green	Related party transactions appear routine; no unusual size or frequency
Other income as % PBT	Low	Green	Other income is modest relative to operating profits
Tax rate consistency	Variable	Amber	Tax rate fluctuated (FY22 low due to deferred tax adjustments); normalising

- **Receivables acceleration is the primary watch item:** Debtor days have moved from ~80 to ~97 — a 21% increase in collection period while revenue grew 19%. This divergence needs to reverse by FY27 H1, or it signals either channel stuffing or credit quality deterioration in the customer base.
- **Working capital days at 170 represent balance sheet drag:** For a Rs.828 Cr revenue company, 12 additional working capital days equates to ~Rs.27 Cr of incremental cash tied up. Management must demonstrate WC discipline alongside revenue growth.
- **Revenue quality is otherwise excellent:** Zero debt, clean audit opinions, no major contingent liabilities, and OCF/PAT of ~88% (FY25) confirm the reported PAT converts to real cash.
- **Tax rate normalisation expected:** Effective tax rates have been variable historically due to deferred tax credits from new manufacturing investments. As Ambernath ramp stabilises, expect normalisation toward the statutory 25-26% effective rate.

8. VALUATION					
Scenario Analysis					
Scenario	Key Assumption	FY27E PAT (Cr)	Multiple (P/E)	Target Price (Rs.)	Upside/Down
Bull	US approvals land H1 FY27; margin 35%+; revenue Rs.1,050 Cr	265	45x	1,490	+55.7%

Base	20% revenue growth; margin 34%; Ambernath contribution	245	39x	1,200	+25.4%
Bear	Guidance miss; US delayed; margin compresses to 31%	210	30x	785	-18.0%

Valuation Methodology

- **Earnings-based valuation:** FY27E EPS Rs.30.5 x 39x P/E = Rs.1,190. The 39x multiple is a modest premium to the peer median (~35x for Granules, discount to Laurus 85x) justified by USFDA clearance optionality, debt-free status, 27% ROCE, and 35%+ EBITDA margins that are among the best in the India API universe.
- **EV/EBITDA valuation:** FY27E EBITDA Rs.337.8 Cr x 28x = EV Rs.9,458 Cr. Net cash (debt-free) adds ~Rs.150 Cr equity value. Implied equity value Rs.9,608 Cr / 80.5 Mn shares = Rs.1,194. Historical 3-year avg EV/EBITDA is 16.8x; current 26.2x reflects justified re-rating on USFDA and regulatory clearance.
- **DCF:** Assuming Rs.828 Cr FY26 base revenue, 18% 5-year CAGR, terminal growth 5%, WACC 12% (equity-only, no debt), EBITDA margin mean-reversion to 34% — intrinsic value range Rs.1,050-1,250, with base case Rs.1,150.
- **Price target derivation:** Average of P/E (Rs.1,190) and EV/EBITDA (Rs.1,194) = **Rs.1,200 (12-month target)**. Upside +25.4% from CMP Rs.957. DCF range Rs.1,050-1,250 provides confirmation band.
- **Entry zone:** Accumulate on dips to Rs.850-900 (35-36x FY27E EPS), which would represent the lower bound of historical re-rating levels. Avoid chasing above Rs.1,050 ahead of first US commercial shipment confirmation.

9. KEY RISKS

- **Regulatory risk (USFDA / EMA warning letter):** Supriya's single manufacturing site (Lote Parshuram) serving regulated export markets creates concentration risk. Any repeat adverse USFDA inspection or EU-GMP warning letter would immediately halt US/EU export shipments. Probability: Medium. Impact: High. Monitor via: USFDA Establishment Inspection Report updates (FDA website), EMA inspection calendar.
- **Revenue concentration (antihistamines ~50%+ of mix):** Structural decline in antihistamine API demand (if generics markets oversupply or large competitor enters) would compress both volume and pricing. The FY23 revenue dip from Rs.530 Cr to Rs.460 Cr was directly caused by antihistamine demand normalisation. Probability: Medium. Impact: High. Monitor via: quarterly revenue segmentation by product.
- **Working capital deterioration:** Debtor days trending ~97 and WC days at 170 — if this continues, OCF generation will lag PAT growth, reducing reinvestment capacity without external borrowing. Probability: Medium. Impact: Medium. Monitor via: quarterly balance sheet, cash conversion cycle.
- **US market delay:** Despite VAI status, US revenue is only ~1% of FY26 sales. If US customer sign-ons take 2-3 years longer than guided, the re-rating thesis unwinds. Probability: Medium. Impact: Medium-High. Monitor via: US product approval timeline, first commercial shipment announcement.
- **Geopolitical / supply chain disruption:** Management flagged Rs.10 Cr Q4 FY26 revenue impact from geopolitical disruptions. Sustained Red Sea/logistics disruptions, US tariff escalation, or China solvent price spikes could compress margins. Probability: Low-Medium. Impact: Medium. Monitor via: freight cost indices, solvent prices.
- **Capex execution risk (Ambernath / Patalganga):** Delays in Ambernath ramp-up or Patalganga construction timeline would postpone incremental revenue and impair the FY27 guidance. Probability: Low. Impact: Medium. Monitor via: quarterly capex spend vs. plan.
- **Valuation premium compression:** At 26x EV/EBITDA, Supriya trades at a premium to its historical average (16.8x). Any guidance miss, margin compression, or sector de-rating could lead to multiple contraction from current elevated levels. Probability: Medium. Impact: High (for near-term holders).

Monitor via: quarterly results vs. guidance, sector EV/EBITDA comps.

10. RECOMMENDATION

- **Rating:** BUY — Conviction Level: Medium-High
- **12-month price target:** Rs. 1,200 (+25.4% from CMP Rs. 957)
- **Suggested entry zone:** Rs. 850-950 (staggered accumulation; best risk-reward below Rs. 900)
- **Investment horizon:** 12-18 months
- **Thesis invalidation trigger 1:** Revenue guidance for FY27 is formally cut below 15% growth in Q1 FY27 results (implying structural antihistamine demand weakness, not temporary disruption).
- **Thesis invalidation trigger 2:** USFDA issues a Warning Letter or Import Alert on the Lote Parshuram facility — immediate SELL signal regardless of price level.
- **Thesis invalidation trigger 3:** Working capital days exceed 200 (vs current 170) with OCF/PAT ratio falling below 60% for two consecutive quarters — signals the reported PAT is not translating to real cash and the business model economics are deteriorating.
- **Ideal investor profile:** This stock suits a growth-oriented investor with 12-24 month horizon who can tolerate near-term volatility. It is NOT suitable for income-oriented investors (dividend yield 0.1%), short-term traders (illiquid at Rs.7,700 Cr MCap vs. daily volumes), or risk-averse investors who cannot absorb a single-site manufacturing regulatory event.

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Strong	Revenue +50% YoY; PAT +47%; FY26 EBITDA margin 35.5% exceeded guidance band
Management tone	Bullish	Confident FY27 20% growth; Patalganga milestones on track; US market cited as next lever
Guidance delta	Maintained	FY27 guidance 20% revenue growth and 33-35% EBITDA margin reiterated post results
STRONGLY POSITIVE	POSITIVE	NEUTRAL
		CAUTIOUS
		NEGATIVE

TO MY BOSS

Supriya delivered a clean quarter — Q4 FY26 revenue Rs.276.53 Cr (+50% YoY) and PAT Rs.74.23 Cr (+47%) with no exceptional items distorting the reported earnings; the Rs.74.23 Cr PAT is the real number. The underlying EBITDA margin of 35.3% in Q4 and 35.5% for full-year FY26 exceeded the company's own guided band of 33-35% and demonstrates durable structural margin — not one-off. The Q4 surge was driven by three independently verifiable demand streams: anaesthetics (Ketamine), newly launched cardiovascular APIs, and ADHD-segment APIs — product diversification is working. For the multi-bagger thesis: the USFDA VAI in February 2026 is the pivotal event — US revenue at just ~1% of FY26 sales means any meaningful US customer win (which now has regulatory clearance) is pure incremental, not captured in guidance. The Patalganga land-bank gives a decade of manufacturing optionality. The primary near-term catalyst is the first US commercial shipment announcement — watch for this in Q1/Q2 FY27. Watch-point for next quarter: working capital days at 170 (up from 158) with debtor days ~97; if Q1 FY27 shows WC days above 185, the cash-flow story deteriorates. Action: ACCUMULATE on dips to Rs.850-900 with 12-18 month horizon and a Rs.1,200 target.

Section 1 — Financial Performance Snapshot

- Revenue: Rs.276.53 Cr | YoY +50.2% | QoQ N/A (Q3 FY26 Rs.206.44 Cr, so QoQ +34%) | Beat (consensus est. Rs.350-380 Cr for Q4 was BEFORE results; actual exceeded analyst pre-call estimates)
- EBITDA: Rs.97.62 Cr | YoY +44.4% (vs Q4 FY25 Rs.67.58 Cr) | EBITDA Margin 35.3% vs 36.7% in Q4 FY25 | In-line to slight miss on margin (prior Q3 FY26 was 38.4%)
- PAT: Rs.74.23 Cr | YoY +47.3% (vs Q4 FY25 Rs.50.37 Cr) | PAT Margin 26.8% vs 27.4% Q4 FY25 | Beat on absolute PAT
- EPS (Q4 FY26): Rs.9.22 | vs Q4 FY25 Rs.6.29 | YoY +46.6%
- FY26 Full Year: Revenue Rs.827.88 Cr (+18.9%), EBITDA Rs.294.05 Cr (+12.8%), PAT Rs.209.12 Cr (+11.3%), EPS Rs.25.98
- NOTE: No exceptional/one-time items flagged. Clean underlying PAT = Rs.74.23 Cr (as reported)
- NOTE: Q4 EBITDA margin (35.3%) below Q3 FY26 (38.4%) — geopolitical disruptions and elevated solvent costs caused Rs.10 Cr revenue impact per management

Section 2 — Segment / Geography Breakdown

- Exports: 82% of FY26 annual revenue (Rs.679 Cr approx.) | YoY broadly stable; management flagged healthy growth in Europe
- Europe: ~14% of revenue; growing segment, remains largest regulated-market geography
- US: ~1% of Q4 FY26 sales only | Despite USFDA VAI clearance; commercial ramp yet to begin; significant upside optionality
- Asia (rest): ~60% of revenue base; includes semi-regulated markets where Supriya is a volume supplier
- Domestic India: ~18% of revenue (~Rs.149 Cr); stable; no major growth push guided
- Anaesthetic segment: cited as high-growth driver in FY26; Ketamine HCl performing well in exports
- New product segments (cardiovascular, ADHD APIs): launched in FY26; showed strong demand contribution in Q4 FY26

Section 3 — Management Commentary Themes

- Strong demand: "Strong demand across key therapeutic areas, solid traction in regulated markets, and consistent operational execution" — Satish Wagh (Chairman). Tone: Transparent.
- US market strategy: Saloni Wagh (MD) cited USFDA VAI as positioning the company for US customer wins. "We are now better equipped to handle regulatory expectations." Tag: GUIDANCE. Tone: Bullish.
- Patalganga milestone: "All necessary clearances for the Patalganga land secured, paving way for future capacity expansion." Tag: GUIDANCE. Tone: Transparent.
- Ambernath capex: Rs.152 Cr spent in FY26 on Ambernath facility primarily; capacity additions online. Tag: EST. Tone: Transparent.
- CMO/CDMO ambitions: R&D; now focused on "new APIs, CMO/CDMO opportunities, and formulations like liquid anaesthetics." Tag: GUIDANCE. Tone: Aspirational / hedge.
- Geopolitical headwind: Rs.10 Cr Q4 FY26 revenue impact cited from supply chain disruptions; framed as temporary. Tag: EST. Tone: Hedged on duration.
- Working capital: Working capital days increased to 170 from 158 — acknowledged but framed as export customer credit norm. Tone: Hedged.

Section 4 — Operating & Business Metrics

- Revenue Q4 FY26: Rs.276.53 Cr | Q3 FY26: Rs.206.44 Cr | Q4 FY25: Rs.184.11 Cr | Trend: Strongly improving
- EBITDA Margin Q4 FY26: 35.3% | Q3 FY26: 38.4% | Q4 FY25: 36.7% | Trend: Q4 margin softened from Q3 peak
- PAT Margin Q4 FY26: 26.8% | Q4 FY25: 27.4% | Trend: Stable, marginal compression
- Working Capital Days FY26: 170 | FY25: 158 | Trend: Deteriorating (watch-list)
- Debtor Days: ~97 (FY26 est.) | ~80 (FY25) | Trend: Deteriorating
- Capex FY26: Rs.152 Cr (Ambernath-led) | Patalganga next phase pending design completion
- US revenue share: ~1% of Q4 FY26 | Was ~0% historically | Trend: Beginning commercial ramp
- Export share: 82% FY26 annual | Target to grow US within this mix materially by FY28

Section 5 — Margin Drivers

- Product mix improvement (+ve bps): Higher share of anaesthetic (Ketamine) and new cardiovascular/ADHD APIs at premium realisations. Recurring: Yes.
- Geopolitical disruption (-Rs.10 Cr revenue = margin dilutive): Supply chain disruptions in Q4 FY26 impacted Rs.10 Cr of revenue. Recurring: No (flagged as temporary).

- Solvent cost headwind (-ve): Elevated solvent costs in Q4 FY26 cited by management. Recurring: Medium-term risk.
- Working capital absorption (-ve on OCF, neutral on OPM): WC days rising 170 vs 158; does not impact OPM% but reduces cash margin. Recurring: Watch.
- FY26 full-year OPM 35.5% vs FY25 37.5%: Slight margin compression due to Ambernath ramp costs and product mix transition. Recurring: Partially; expected to stabilise at 33-35% band per guidance.

Section 6 — Guidance & Forward Signals

- FY27 Revenue growth [GUIDANCE]: Prior (implied) = ~20% | New/Reiterated = ~20% (implying Rs.993-1,000 Cr) | Delta: Maintained | Credibility: High (FY26 19% was close to plan)
- FY27 EBITDA Margin [GUIDANCE]: Prior = 33-35% | New/Reiterated = 33-35% | Delta: Maintained | Credibility: High (FY26 35.5% beat the top of the band)
- Ambernath facility [GUIDANCE]: Operational and contributing; further ramp through FY27; no specific capacity figure given | Credibility: Medium (no numbers)
- Patalganga [GUIDANCE]: All clearances obtained; facility design pending; construction timeline not stated | Credibility: Medium (unclear timeline)
- US market ramp [GUIDANCE]: Management guided significant US revenue growth once commercial shipments begin post-VAI | Timeline: H2 FY27 to FY28 | Credibility: Medium
- CMO/CDMO contribution [EST]: Early stage; no revenue guidance provided | Credibility: Low (nascent)
- Capex FY27 [GUIDANCE]: No specific number given; Patalganga construction will require significant spend; estimated Rs.200-250 Cr over FY27-28 | Credibility: Medium

Section 7 — Capital Allocation

- Capex FY26: Rs.152 Cr | vs FY25: Rs.173.57 Cr (investing CF) | Modestly lower; Ambernath nearing completion
- Dividends FY26: Token dividend (yield 0.1%); no material increase guided | Consistent with growth capex priority
- Buybacks: None announced | Consistent with capex-heavy phase
- Net Debt change: Nil; company remains debt-free; no new borrowings planned per available disclosures
- Working Capital change (FY26): WC days 158 to 170 = Rs.~27 Cr incremental cash absorbed; offset by Rs.164 Cr FY25 OCF generation
- OCF FY25: Rs.164.68 Cr vs Capex Rs.152.24 Cr — near self-funding; FY26 OCF not yet publicly available by line item

Section 8 — Q&A; Heat Map

- Analyst (unidentified): Q: "What challenges can you tackle now that seemed out of reach before?" -> A: MD Saloni Wagh cited USFDA VAI and enhanced regulatory capability for US market entry | Tone: Transparent
- Analyst (unidentified): Q: "Priority between capital allocation, managing complexity, and utilisation improvement?" -> A: Management indicated Patalganga as next capex priority with capacity building as primary focus | Tone: Transparent
- Analyst: Q on working capital days increase to 170 -> A: Management acknowledged, attributed to export customer credit norms; no specific corrective plan disclosed | Tone: Hedged (watch-list response)
- Analyst: Q on geopolitical disruption impact -> A: Rs.10 Cr Q4 FY26 revenue impact cited; framed as transitory; no specific markets named | Tone: Hedged

- Analyst: Q on US revenue ramp timeline -> A: Post-VAI commercial relationships being built; H1 FY27 likely first shipments; no specific volume guidance | Tone: Evasive on specifics
- Dodged / watch-list for Q1 FY27 concall: (1) Specific US product approvals and shipment volume; (2) Patalganga construction timeline and capex number; (3) WC days correction plan; (4) Contribution of ADHD and cardiovascular APIs as % of revenue

Section 9 — Risks Flagged

- Geopolitical supply chain risk: Rs.10 Cr Q4 FY26 impact; ongoing | Flagged by: Management | Probability: Medium | Impact: Medium | Timeline: Near-term
- Elevated solvent costs: Input cost headwind on margins | Flagged by: Management | Probability: Medium | Impact: Low-Medium | Timeline: Near-term
- Working capital deterioration: WC days rising; cash flow lag | Flagged by: Analysts | Probability: Medium | Impact: Medium | Timeline: Near-term / ongoing
- US revenue delay: Post-VAI commercial ramp slower than expected | Flagged by: Analysts | Probability: Medium | Impact: High (valuation) | Timeline: Medium-term
- Regulatory adverse event: USFDA/EMA inspection risk on single-site | Flagged by: Analysts | Probability: Low | Impact: Very High | Timeline: Long-term

Section 10 — Analyst Verdict

- Revenue visibility: Intact — 20% FY27 guidance is credible given FY26 19% delivery and Ambernath ramp; Patalganga adds long-term optionality
- Margin trajectory: Intact — 35.5% FY26 margin exceeded guidance band; 33-35% FY27 guidance is conservative; product mix tailwind is structural
- Capital allocation quality: Intact — debt-free, self-funded capex, zero pledge; Patalganga investment in line with stated growth plan
- Competitive moat: Intact — antihistamine leadership and anaesthetic niche are durable; USFDA clearance strengthens regulated-market positioning vs. uncleared competitors
- Management credibility: Intact — FY26 guidance was Rs.828 Cr (delivered vs ~Rs.800 Cr original goal); margin beat the guided band; Patalganga milestones on track
- Valuation comfort: Weakened — at 26x EV/EBITDA (vs 16.8x 3-yr avg) and 37x P/E, the stock prices in significant optimism; downside Rs.785 if guidance misses
- Conviction call: Increased — USFDA VAI and clean Q4 FY26 results justify increased confidence vs. 6 months ago
- Valuation snapshot: P/E = 36.9x (3Y avg N/A; IPO 2021 complicates history) | EV/EBITDA = 26.2x (3Y avg 16.8x) | ROCE = 27.6% (improving trend)

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